

MOHIP Writes

ECO 401 Final Term

The kinked demand curve model is based on which of the following assumptions?

Each firm considers its rival's output to be fixed. Each firm considers its rival's price to be fixed. **Each firm believes rivals will match all price changes.** None of the given options.

An increase in the wage rate:

Will usually lead to more people employed

Will decrease total earnings if the demand for labour is wage elastic.

Is illegal in a free market.

Will cause a shift in the demand for labour.

The aggregate supply curve is the relationship between:

The price level and the real domestic output purchased.

The price level and the real domestic output produced.

The price level which producers are willing to accept and the price level purchasers are willing to pay.

The real domestic output purchased and the real domestic output produced.

An assumption of classical economics is:

Investment and saving are seldom equal.

Self-correction takes a long time.

Demand creates its own supply.

Prices and wages are flexible.

All other things remain the same, Gross Domestic Product (GDP) will rise if:

Imports rises. Exports falls.

Durable goods consumption rises. Military spending falls.

The trend of unemployment over the last forty years is:

A decrease in unemployment.

It has remained largely unchanged.

An increase in unemployment.

It is too difficult to tell so don't bother.

In the Keynesian cross model, the aggregate expenditure line has a slope of:

1.

0.

Infinity.

Less than 1.

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

All four sectors only when the economy is at full employment.

All four sectors at a specific aggregate production level.

The household sector after taxes.

The business and government sectors.

The relationship between hours provided by labor and wage rate is:

Positive

Negative

Ambiguous

Very strong

The information economics is a branch of:

Microeconomics

Macroeconomics

Monetary economics

Development economics

What is the international trade effect that explains why the aggregate demand curve slopes downward?

An increase in net exports shifts the aggregate demand curve to the right.

An increase in the domestic price level reduces net exports leading to a movement along the aggregate demand curve.

An increase in the exchange rate shifts the aggregate demand curve to the right.

An increase in the prices of foreign goods level reduces imports leading to a movement along the domestic economy's aggregate demand curve.

Which of the following is equal to personal savings?

Gross domestic income - consumption

Personal disposable income - consumption

Gross domestic product - consumption

Personal disposable income - taxes – consumption

Structural unemployment occurs:

With economic fluctuations; it increases during bad times and decreases during good times.

Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.

Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.

Because the government labels some people who aren't really in the labor force as unemployed

A system in which exchange rates are set by government policy is called a:

Managed float system

Free-floating exchange rate system

Commodity standard system

Fixed exchange rate system

Devaluation is done to:

Encourage exports.

Discourage exports.

Encourage imports.

Encourage inflation.

Which of the following types of capital exist in real world?

Private capital stock Public infrastructure Human capital **All Option**

A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

Value-added tax. Regressive tax. **Proportional tax.** Progressive tax.

Economists define economic growth as:

Changes in real GDP from year to year that occur as aggregate demand and short-run aggregate supply change An increase in the standard of living of a nation
An increase in nominal GDP combined with price stability
The process through which the economy's potential output is increased

Consumers can make about the rational decision by using:

Total utility and marginal utility approach Income and consumption analysis.
Cost and benefit analysis Working hours and leisure time

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

0.80 1.20 0.50 1.25

The multiplier is a related concept which formalizes the output response to:

Saving **Investment** Taxes Inflation

Fisher equation explains that:

Real GDP= Nominal GDP- Inflation. Real GDP= Nominal GDP+ Inflation.
Nominal GDP= Real GDP-Inflation. Real GDP=Inflation- Nominal GDP

The value of world trade has increased ----- over the period of 1930-2000.

20 fold 10 fold 5 fold 14 fold

The developing countries often face two gaps, foreign exchange gap and:

Saving and investment gap Income and consumption gap
Aggregate demand and aggregate supply gap. None of the given options.

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

The demand curve for eggs to shift leftward. Quantity demanded of eggs to decrease.
The demand curve for eggs to shift rightward. **Quantity demanded of eggs to increase.**

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

Price elasticity of demand

Income elasticity of demand

Price elasticity of supply

Cross price elasticity of demand

Suppose that the cross price elasticity of demand for Coke with respect to the price of Mountain Dew is 0.8. This implies that these two goods are:

Substitutes.

Complements.

Inferior.

Normal

Suppose the total utility derived from consuming first four units of a good are 10, 20, 30 and 40 respectively. What is the marginal utility of the fourth unit of good?

10

20

30

40

Ali, a careful maximizer of utility, consumes only two goods butter and potato. He had just achieved the utility maximizing solution in his consumption of the two goods when the price of potato rose. As he adjusts to this event, he will consume:

More butter and less potato.

Less butter and less potato.

More butter and more potato

Less butter and more potato.

Suppose that 48 units of output are produced by using 12 units of labor. Which of the following is TRUE in this context?

The marginal product of labor is 4.

The total product of labor is $\frac{1}{4}$

The average product of labor is 4

None of the given options.

Suppose all inputs are increased by 30% and output increases by more than 30% in a production process. This means that the firm experiences:

Decreasing returns to scale.

Constant returns to scale

Increasing returns to scale.

None of the given options.

OPEC is:

A cartel of oil producing countries.

The Organization of Petroleum Exporting Countries.

The cartel that was responsible for the large increases in crude oil prices in the 1970s.

Illustrated by all of the given options.

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

Reduce the real value of income tax free allowances.

Reduce government spending on capital projects.

Raise Value Added Tax (VAT).

Start public job training programs.

Which of the following is a cost of rising unemployment?

I. Output foregone.

II. Unemployment compensation that must be paid.

III. Rising inflation that erodes the value of money.

I, II, and III.

I and II.

I and III.

II and III.

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

M has no effect on the price level.

V is the number of times each rupee is spent per year.

Q is the real price level.

P rises as V falls, other things constant.

A trade deficit occurs when:

A country sells more abroad than it purchases from abroad.

Foreign firms open more stores in a country than the country opens in foreign countries.

A country's firms open more stores abroad than foreign firms open in the country.

A country purchases more from abroad than other countries purchase less from this country.

What is TRUE for a poor country?

The supply of capital is low.

The demand for capital is low.

Both the supply of and demand for capital are low.

Their GDP growth rate is very high.

What happens in a steady state condition with no population growth?

The amount of capital per worker remains constant over time.

Investment per worker equals depreciation per worker.

Saving per worker equals depreciation per worker.

All of the given options.

If the required reserve ratio is 20% then what will be the value of money multiplier?

1

2.5

5

7

The money multiplier is the reverse of:

Legal reserves.

Excess reserves.

Checkable deposits.

Reserve ratio.

Which of the following is a primary function of a central bank?

To regulate dividend payments by corporations

To act as a regulator of banks

To control the bond market

To publish statistics on banking and related financial matters

How an economy will be affected if money supply is increased in the country?

Interest rate increases, investment and GDP reduces.

Interest rate increases, investment increases and GDP reduces.

Interest rate reduces, investment and GDP increases.

Interest rate reduces, investment and GDP reduces.

If prices are held constant, what will be the impact of an increase in money supply on real money supply curve?

It will shift to the right. It will shift to the left. **It will stay as it is.** None options.

Governments protect domestic industries from foreign competition by which of the following action?

By keeping the minimum wage low By encouraging agreements like NAFTA
By using tariff and non-tariff barriers By discouraging union membership

What is meant by the negative slope of a production possibilities frontier?

It means that some resources are always unemployed.

It means that an economy can produce more of one thing only by producing less of something else. It means that opportunity costs are constant.

It means that business can sell more when prices are low.

Consumers will maximize satisfaction when:

The price of each good is exactly equal to the price of every other good consumed.

The price of each good is exactly equal to the total utility derived from the consumption of every other good.

The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.

Marginal utility is equal to average utility.

The supply curve for a competitive firm is:

Its entire marginal cost curve.

The upward-sloping portion of its marginal cost curve.

Its marginal cost curve above the minimum point of the average variable cost curve.

Its marginal cost curve above the minimum point of the average total cost curve.

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a ,,,,,,, quantity,,,,,, price and sell a

Higher, larger. Lower, larger. **Higher, smaller.** Lower, smaller.

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

Engages in a discrete pricing strategy.

Charges the average reservation price.

Engages in second-degree price discrimination.
discrimination.

Engages in first-degree price

Consumption spending, investment expenditures, government expenditures and net exports are:

The components of household income.

The components of aggregate demand.

The components of aggregate supply.

The components of government revenue.

How many methods are there to measure Gross Domestic Product?

Three

Four

Five

Six

Final goods are meant for:

Direct use by the consumers.

The term do not exist.

Further processing.

None of the given options.

Endogenous growth theory was developed in:

1980

1965

1970

1950

The IS curve shows all the combinations of income and:

Interest rate for which the goods market is in equilibrium.

Interest rate for which the money market is in equilibrium.

Price level for which the goods market is in equilibrium.

Price level for which the money market is in equilibrium.

If the demand curve for a good is downward sloping, then the good:

Must be normal

Must be inferior

Must be giffen

Can be normal or inferior

Which of the following is TRUE about the upward-sloping aggregate supply curve?

As firms increase their level of output, the cost of producing an extra unit increases.

An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.

Any increase in aggregate demand causes the output of producers to fall because the general price level rises.

None of the given options.

The nominal exchange rate is defined as the:

Market on which currencies of various nations are traded for one another.

Price of one unit of foreign good in terms of domestic good.

Price of one unit of foreign currency in terms of domestic currency.

All of the given options.

Firm A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200.

Which figure has to be used for finding the economy's product?

Rs. 500 of firm A

Rs. 700 of firm B.

Rs. 1200 of firm C.

Total of all three Rs. 2400.

For knowing the spending capacity of the household sector, we have to use the concept of:

National income. Personal income. Private income. **Personal disposable income.**

Labor supply curve is backward bending because:

The income effect of higher income dominates the substitution effect of higher wages.

The substitution effect of higher income dominates the income effect of higher wages.

The income effect of higher income dominates the price effect of higher wages.

None of the given options.

The discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

Future value **Net present value.** Discounted value Disposal value.

Information products are also known as:

Inferior products. Superior products. **Internet products.** Expensive products.

A public good is non-rival because:

One person's use or consumption does not reduce the ability of another to use it

It is difficult to exclude users once the good is available.

External benefits are generated through its consumption.

External costs are generated through its production.

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An increase in the prices of foreign goods level reduces imports leading to a movement along the domestic economy's aggregate demand curve.

A change from \$1.00 = Rs. 82.00 to \$1.00 = Rs. 80.00 represents:

An appreciation of the dollar.

An appreciation of the rupee.

Depreciation of the rupee.

None of the given options.

Which of the following is included in M2 but not in M1?

Currency.

Demand deposits

Time deposits.

Debit cards.

Which of the following statement describes decreasing returns to scale?

Increasing the inputs by 1/4% leads to a 1/2% increase in output.

Increasing inputs by 1/2 leads to an increase in output of 1/6.

Doubling the inputs used leads to double the output.

None of the given options.

The marginal propensity to save (MPS) is:

1 / Marginal propensity to consume.

1 - Income.

1 / Income.

1 - Marginal propensity to consume.

The multiplier is a related concept which formalizes the output response to:

Saving.

Investment.

Taxes.

Inflation.

Currently Pakistan is maintaining:

Fixed exchange rate.

Floating exchange rate.

Composition of fix and floating exchange rate.

None of the given options.

If imports are greater than exports of any country, than that country will face:

Current account deficit.

Current account surplus.

Fiscal deficit.

Devaluation in local currency.

Which of the following is not the function of money?

A store of value.

Unit of count.

Medium of exchange.

Unit of account.

The demand for money to meet any urgent or unexpected expenditure is called:

Transactions demand for money.

Precautionary demand for money.

Speculative demand for money.

None of the given options.

The developing countries often face two gaps, foreign exchange gap and:

Saving and investment gap.

Income and consumption gap.

Aggregate demand and aggregate supply gap.

None of the given options.

Production possibilities frontier (PPF) will shift downward if there is:

An increase in technology.

An increase in the size of the working-age population.

A decrease in the size of the working-age population.

Increased production of capital goods.

If there is a difference between the MU_x/P_x and the MU_y/P_y , we expect that a consumer will:

Continue to purchase the quantities generating this outcome.

Buy more of good x.

Buy more of good y.

Change the quantities of good x and y in their current purchase basket.

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the variable cost?

50 5 **$5 + (200/Q)$** 200

Monopoly profits can be invested in which of the following areas?

Research and development. Human resource development.
Development of new innovative products. **They can be invested in all of the given areas.**

Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:

First-degree price discrimination. Second-degree price discrimination.
Third-degree price discrimination. Block pricing is not a type of price discrimination.

All of the following are transfer payments EXCEPT:

Unemployment compensation. Pension to retired employees.
Social security contributions. Payment to a domestic servant.

If disposable income increases from Rs. 7 trillion to Rs. 8 trillion and as a result, consumption expenditures increase from Rs. 9 trillion to Rs. 9.8 trillion, the Marginal Propensity to Consume is:

1.0 **0.80** 0.875 0.91

Disposable Personal Income (Rupees)	Consumption (Rupees)
100	140
200	220
300	300
400	380

-40 -20 0 20

Which of the following will influence a country's exports?

Costs of transporting goods from country to country.
Consumer tastes for domestic and foreign goods.
Prices of goods at home and abroad. **All of the given options.**

If a Pakistani radio priced at Rs.1, 500 can be purchased for \$10, the exchange rate is:

150 1510 1490 2.50

Exchange Rate = Price in Domestic Currency / Price in Foreign Currency

In this case: Exchange Rate = Rs.1,500 / \$10

Exchange Rate = 150

What is TRUE for a poor country?

The supply of capital is low.

The demand for capital is low.

Both the supply of and demand for capital are low.

Their GDP growth rate is very high.

Which of the following is a necessary condition for the high rate of modern economic growth?

Continuous technology progress

High rate of population growth

Development of urban centers

Expansion of railways

The money multiplier is the reverse of:

Legal reserves.

Excess reserves.

Checkable deposits.

Reserve ratio.

What will be the impact if agriculture sector is neglected in the development process?

It can lead to insufficient savings.

It can lead to shortage of foreign exchange.

It can lead to lower levels of production.

All of the given conditions can happen.

How should monetary policy be used during recessions?

Decrease money supply to increase interest rate and increase aggregate demand.

Increase money supply to increase interest rate and increase aggregate demand.

Decrease money supply to decrease interest rate and increase aggregate demand.

Increase money supply to decrease interest rate and increase aggregate demand.

Which of the following statements describes monetary policy goals?

I. Maintain high interest rates.

II. Keep unemployment rates low.

III. Reduce the size of the banking sector.

IV. Prevent high rates of inflation.

I, II, III, and IV

I, II, and III

II, III, and IV

II and IV

Which of the following is NOT the World Bank's structural reform policy?

FDI liberalization.

Trade liberalization.

Financial liberalization.

Same monetary policy for all countries.

The maximum price that a consumer is willing to pay for a good is called:

The reservation price.

The market price.

The second-degree price.

The block price.

If different firms in the oligopolistic structure do not cooperate with each other, this situation is known as:

Collusive oligopoly. Cartel. Price leadership. **Non-collusive oligopoly.**

The price elasticity of demand measures the responsiveness of quantity demanded to:

Quantity demanded. Quantity supplied. **Price.** Output.

A production function:

Relates inputs with output. Generates a curve that is upward sloping.
Shows diminishing marginal product of an input, since it gets flatter as output rises.

All of the given options.

Diminishing marginal returns implies:

Decreasing marginal costs. Increasing marginal costs.
Decreasing average variable costs. Decreasing average fixed costs.

Welfare economics is the branch of economics which deals with:

Positive issues. **Normative issues.** Micro issues. Macro issues.

Keynesian economics rejected the classical assumption that:

Supply creates its own demand. Prices and wages are inflexible.
Self-correction takes a long time. Consumption expenditures depend on disposable income.

A new skills training initiative is aimed at increasing the ability of those out of work to take the jobs on offer in a rapidly changing environment shows:

Frictional Unemployment. **Structural Unemployment.**
Demand Deficient Unemployment. Real Wage Unemployment.

The labour force is made up of:

The number of people employed minus the number of people unemployed.

The number of people employed plus the number of people unemployed.

Just the number of people employed. The whole population.

Current account deficit is equal to:

Private sector resource deficit. Government budget deficit.
Private sector resource deficit + Government budget deficit. None options.

Which of the following is the narrowest and most traditional definition of money?

M1 M2. M3 M4

All of the following conditions lead to the successful operation of a cartel EXCEPT:

Market demand for the good is relatively inelastic.

The cartel supplies all of the world's output of the good.

Cartel members have substantial cost advantages over non-member producers.

The supply of non-cartel members is very price elastic.

Those who hold the classical view of the labour market are likely to believe that:

Monetary but not fiscal policy will have an effect on output and employment.

Fiscal but not monetary policy will have an effect on output and employment.

Both monetary and fiscal policy will have an effect on output and employment.

Neither monetary nor fiscal policy will have an effect on output and employment.

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

Both prices and output to rise.

Prices to fall and output to remain unchanged.

Both prices and output to fall.

Prices to rise and output to remain unchanged.

The total expenditures in an economy are not equal to total income in which of the following cases?

If total saving is larger than total investment.

If net exports are not zero.

If inventory investment is negative.

None of the given options.

Which of the following is NOT included in National income?

Profits and rents.

Wages and salaries.

Interest on capital.

Transfer incomes.

Public education creates:

Asymmetric information.

External costs.

Internal costs.

External benefits.

The unemployed individuals are those who are:

Not currently working but are actively looking for work. Working but looking for a different job. Not currently working. Working less than their desired amount of time.

In the equation of exchange, if velocity is stable in the long run then:

$\% \Delta V = 0$.

$\% \Delta V = 1$.

$\% \Delta V$ is a positive constant value > 0 .

$\% \Delta V = \text{infinity}$.

Most nations of the world are:

Closed economies.

Open economies.

Self sufficient.

Non trading nations.

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

Revaluation.

Devaluation.

Appreciation.

Depreciation.

Which of the following best describes the economic growth?

An increase in aggregate demand which causes a movement along the short-run aggregate supply curve. Continuous outward shift of aggregate demand.
A long term expansion of a country's potential GDP The avoidance of a negative output gap.

The government has a budget deficit if:

Its total revenues are equal to its total expenditures.
Its total revenues are less than its total expenditures.
Its total revenues are greater than its total expenditures.
The money supply is less than total expenditures.

A tax on individual's income is known as:

Sales tax. Excise tax. Corporate income tax. Personal income tax.

The item which serves as a medium of exchange is known as:

Gold. Capital. Silver Money.

In which of the following conditions, a welfare loss occurs in monopoly?

Where the price is greater than the marginal cost.
Where the price is greater than the marginal benefit.
Where the price is greater than the average revenue.
Where the price is greater than the marginal revenue.

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

0.80 1.20 0.50 1.25

If there is an excess demand for dollars in the market then it will:

Pushes the exchange rate up. Pushes the exchange rate down.
Not affect the exchange rate. Increase poverty.

A process by which money is created is called:

Credit rationing. Credit expansion. Credit creation. None of the given options.

Money demand decreases when interest rate:

Increases. Decreases. Remains the same. All of the given options.

If the exchange rate is fixed, expansionary fiscal policy would not have any:

Investment multiplier effect. Crowding out effects.
Government spending effect None of the given options.

The concave shape of the production possibilities frontier (PPF) illustrates:

Increasing opportunity cost.

Decreasing opportunity cost.

Constant opportunity cost.

Zero opportunity cost.

Price of rice (per bag)	Quantity demanded of rice by Rabia	Quantity demanded of rice by Ali	Quantity demanded of rice by Ahmad
90	10	0	60
80	15	10	80
70	20	20	100

The law of demand

The law of supply

An increase in his income

A change in his taste and preferences

Demand is said to be price inelastic if a 20 percent change in the price of a good results in a percentage change (in absolute value terms) in quantity demanded

that is:

Less than 0

Greater than 0 but less than 20

Equal to 20

Greater than 10

Suppose the total utility derived from first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

10

13

20

33

$$\text{Marginal Utility of the third unit} = \frac{\text{Change in Quantity}}{\text{Change in Total Utility}} = \frac{(33-23)}{(3-2)} = \frac{10}{1} = 10$$

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

Positive.

Strictly linear.

Flat.

Negative.

Suppose that the total utilities corresponding to the first five units of a good consumed are 14, 20, 25, 29, and 32, respectively. The marginal utility of the third unit is:

5.

6.

20

25

In this case, the total utility for the third unit is 25, and the total utility for the second unit is 20. Therefore:

$$\text{Marginal Utility of the Third Unit} = 25 - 20 = 5$$

Units of Good A per period	Total Utility	Marginal Utility
0	0	0
2	5	5
1	9	4

3	12	3
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Increasing costs.

Decreasing total returns.

Diminishing average returns.

Diminishing marginal utility.

All other things being equal, an increase in government spending will:

Shift the aggregate demand curve to the right.

Shift the aggregate demand curve to the

left. Make the aggregate demand curve flatter.

Make the aggregate demand curve

steeper.

Which of the following events could cause the aggregate demand curve to shift to the right?

An increase in the rate of inflation.

A decrease in government expenditures.

A decrease in investment spending.

A decrease in income tax rates.

Which of the following is a benefit of real economic growth to a society?

Everyone enjoys a greater nominal income.

The standard of living increases.

The burden of scarcity increases.

The society is less able to satisfy new

wants.

Which of the following statements is TRUE about the difference between nominal GDP and real GDP?

Real GDP includes only goods; nominal GDP includes goods and services.

Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.

Real GDP is equal to nominal GDP less the depreciation of the capital stock.

Real GDP is equal to nominal GDP multiplied by the CPI.

Which of the following is the component of total national investment?

Gross domestic fixed capital formation.

Change in stocks.

Export less imports.

All of the given options.

Which of the following is required to make the equation of exchange in the quantity theory of money?

Velocity and output are assumed to be constant.

The money supply is assumed to be produced by the banking system and not exclusively in currency.

The quantity of money is assumed to determine the amount of Real GDP.

Money supply and prices are considered constant.

Which of the following is equal to net exports?

Imports - exports.

Exports - imports.

Domestic consumption - foreign consumption.

Foreign consumption - domestic consumption.

What is TRUE for a poor country?

The supply of capital is low.

The demand for capital is low.

Both the supply of and demand for capital are low.

Their GDP growth rate is very high.

Which of the following shows the functions of money?

A conductor of economic activity, a medium of exchange and a store of value.

A medium of exchange, a store of value and a factor of production.

A store of value, a medium of exchange and a determinant of investment.

A store of value, a unit of account and a medium of exchange.

What will be the impact of an increase of Rs.1 in government purchases?

It will shift the expenditure line upward by Rs.1.

It will shift the IS curve to the right by Rs. $1/(1 - MPC)$.

It will not shift the LM curve.

All of the given options.

Why agriculture sector has an important role to play in the development process?

Because a balanced approach to growth is necessary.

Because the vast majority of an under developed country is engaged in agriculture.

Because agriculture may be a major bottleneck in the process of development.

Because of all of the given options.

If the demand for using gym is price inelastic and your local gym owner increases the fee for using the gym, you would expect:

A decrease in total revenue received by the gym owner.

An increase in total revenue received by the gym owner.

No change in total revenue received by the gym owner.

An increase in the hours that people will spend in gym.

Price floor results in:

Excess supply.

All of the given options.

Equilibrium.

Excess demand.

The numerical measurement of a consumer's preference is called:

Satisfaction.

Use

Pleasure.

Utility

Which of the following can be thought of as a barrier to entry?

Scale economies.

Patents.

Strategic actions by incumbent firms.

All

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

Independent. Complements. **Substitutes.** Inferior.

The aggregate supply curve is the relationship between:

The price level and the real domestic output purchased.

The price level and the real domestic output produced.

The price level which producers are willing to accept and the price level purchasers are willing to pay. The real domestic output purchased and the real domestic output produced.

Real Gross Domestic Product (GDP) is measured:

At base year prices.

At current year prices.

At a constant output level but at current prices.

As the difference between the current year's GDP and last year's GDP.

The slope of the consumption function (or line) is the:

Average propensity to save.

Average propensity to consume.

Marginal propensity to save.

Marginal propensity to consume.

An exchange rate system in which central banks are always ready to buy and sell their currencies at predetermined prices is called:

A flexible exchange rate system.

A managed exchange rate system.

A fixed exchange rate system.

None of the given options

Real GDP is equal to:

Nominal GDP - Inflation.

Nominal GDP + Inflation.

Nominal GDP / Inflation.

Inflation / Nominal GDP.

M1 component of money supply consists of:

Paper currency and coins.

Paper currency, coins and check writing deposits.

Paper currency, coins, check writing deposits and savings deposits.

Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

All of the following conditions lead to the successful operation of a cartel EXCEPT:

Market demand for the good is relatively inelastic.

The cartel supplies all of the world's output of the good.

Cartel members have substantial cost advantages over non-member producers.

The supply of non-cartel members is very price elastic.

"Decreases in aggregate demand decrease real output but leave the price level largely unaffected". This is the point of view of which of the following schools of thought?

Monetarist school of thought.

Real business cycle school of thought.

New Classical school of thought.

Keynesian school of thought.

How an economist will define the exchange rate between two currencies?

It is the amount of one currency that must be paid in order to obtain one unit of another currency.

It is the difference between total exports and total imports within a country.

It is the price at which the sales and purchases of foreign goods takes place.

It is the ratio of import prices to export prices for a particular country.

Which of the following best describes the "Capital widening"?

More capital per unit of labour.

Increasing the usage of existing capital

More capital and more labour but with the same amount of capital per unit of labour.

Importing capital from the developed world.

Public education creates:

Asymmetric information.

External costs.

Internal costs.

External benefits.

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

Aggregate demand curve.

Average price level.

Circular flow model.

GDP

curve.

The long run in macroeconomic analysis is a period:

In which wages and some other prices are sticky.

Greater than 12 months.

In which full wage and price flexibility and market adjustment have been achieved.

In which the capital stock is held constant.

In the long run, the price level is determined by:

Aggregate demand.

Aggregate supply.

The government.

Money supply.

The Keynesian revolution in macroeconomics was that:

Capitalist economies were self-correcting. A gold standard was not necessary to control inflation. Unemployment can be viewed as being voluntary.

Government has a role in maintaining full employment.

Which of the following is equal to the number of people unemployed?

The number of people employed minus the labor force.

The labor force plus the number of people employed

The number of people employed divided by the labor force.

The labor force minus the number of people employed.

To determine whether an economy's output is growing or shrinking, one must keep track of:

Changes in the general price level.

Changes in real GDP.

Changes in nominal GDP.

Changes in the growth rate of nominal GDP

The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?

It is same in the long run and the short run. It is greater in the long run than in the short run.

It is greater in the short run than in the long run. It is too uncertain to be estimated.

Final Term MCQs

Keynes advocated demand-side policies to lift the economy out of that equilibrium towards full employment.

True

False

Which one of the following is true with a pure monopoly?

The monopoly's demand curve and the market demand curve are one and the same.

The market is dominated by just two firms.

The monopolist will always charge the highest possible price.

The monopolist will always charge a high price because it wants to maximize profit

3. If injections are less than withdrawals at the full-employment level of income then there arises:

A deflationary gap.

Hysteresis.

Hyperinflation.

An inflationary gap.

The slope of the saving function (or line) is the:

Marginal propensity to save.

Average propensity to consume.

Marginal propensity to consume.

Average propensity to save.

An individual whose attitude towards risk is known as:

Risk averse.

Risk loving

Risk neutral

None of the given is necessarily

An important difference between the approaches of the classical and Keynesian economists use to achieve a macroeconomic equilibrium is that:

Keynesian economists actively promote the use of fiscal policy; the classical economists do not. Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance; classical economists do not. Classical economists believe that monetary policy will certainly affect the level of output; Keynesians believe that money growth affects only prices. Classical economists believe that fiscal policy is an effective tool for achieving economic stability; Keynesians do not.

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

The economic perspective. Marginal analysis. Allocative efficiency. Opportunity cost.

Unemployment benefits may increase the unemployment rate because unemployment benefits:

Reduce the cost of job search. Encourage people to quit their jobs.
Reduce the benefits of additional job searching. Enable people to quit searching for work.

According to Classical models, the level of employment is determined primarily by:

The level of aggregate demand for goods and services. Prices and wages.
Government taxation. Government spending.

10. The numerical measurement of a consumer's preference is called:

Satisfaction Use Pleasure Utility

Those who hold the classical view of the labour market are likely to believe that

Monetary, but not fiscal policy will have an effect on output and employment.
Fiscal but not monetary policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

Which of the following is the Fisher Equation of Exchange?

$MT = PV$. $VT = PM$. $MV = PQ$ $MY = VP$.

To find the profit maximizing level of output, a firm finds the output level where:

Price equals marginal cost. Marginal revenue and average total cost.
Price equals marginal revenue. None of the given options.

The gold standard was an example of what kind of exchange-rate system?

A freely floating exchange rate. A managed floating exchange rate.
A fixed exchange rate. A non-convertible exchange rate.

According to classical economists, the:

Aggregate demand curve is downward sloping and the aggregate supply curve is vertical

Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is horizontal

In which case, total expenditure in an economy is not equal to total income?

If total saving is larger than total investment.

If net exports are not zero.

If inventory investment is negative.
equal.

None of the given options -- they are always

A good for which income and quantity demanded are inversely related is known as:

Inferior good.

Complementary good.

Normal good.

None of the given options.

An increase in supply is shown by:

Shifting the supply curve to the left.

Shifting the supply curve to the right.

Upward movement along the supply curve.
curve.

Downward movement along the supply

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

-14.

14.

83

97.

Indifference curves that are convex to the origin reflect:

An increasing marginal rate of substitution.

A decreasing marginal rate of substitution.

A constant marginal rate of substitution

A marginal rate of substitution that first decreases, then increases.

As compared to existing firms, a new firm entering in monopolist market has:

High costs.

Low costs.

Equal costs.

None of the given options.

If a government were to fix a minimum wage for workers that was higher than the market-clearing equilibrium wage, economists would predict that

more workers would become employed.

there would be more unemployment.

the costs and prices of firms employing cheap labour would increase.

wages in general would fall as employers tried to hold down costs.

If the "regulated-market" price is below the equilibrium (or "free-market" price) price,

the quantity demanded will be greater than quantity supplied. demand will be less than supply. quantity demanded will be less than quantity supplied.
quantity demanded will equal quantity supplied

The need for rationing a good arises when

there is a perfectly inelastic demand for the good. supply exceeds demand.
demand exceeds supply a surplus exists..

A price floor is

a maximum price usually set by government, that sellers may charge for a good or service.
a minimum price usually set by government, that sellers must charge for a good or service.
the difference between the initial equilibrium price and the equilibrium price after a decrease in supply. the minimum price that consumers are willing to pay for a good or service.

What is the effect of imposing a fixed per unit tax on a good on its equilibrium price and quantity?

Price falls, quantity rises Price rises, quantity falls
Both price and quantity fall Both price and quantity rise